Pensions

The UK government offers a pension to UK citizens who have made sufficient contributions towards their National Insurance during their working lives. Private pension options are available, sometimes augmented by employers.

The new state pension

A new UK pension system was introduced in April 2016 – the New State Pension with a maximum weekly payout of £155.65. This only applies to those who reached retirement age on or after 6 April 2016. Existing retirees were not affected and continue to receive the old state pension, comprising a basic payment of £119.30, plus an average of £40 for those who paid into the Second State Pension (also known as the State Earnings Related Pension, or SERPS).

To receive the minimum level of New State Pension, pensioners will need to have paid National Insurance contributions for 10 years. In order to receive the full state pension of £155.65, contributors will need to have paid in for 35 years. Those who have not paid in for this length of time will receive a pro rata amount based on the number of years they have paid in, as long as they meet the 10-year minimum requirement. This figure is calculated by multiplying the number of years that contributions were made by £4.45 (£155.65 divided by 35 years).

National Insurance

National Insurance contributions are payable when earnings exceed £155 a week. Income tax and National Insurance contributions are automatically deducted and paid to HMRC by employers, but the self-employed are responsible for paying in their own. Any gaps in National Insurance can be topped up in order to meet the minimum requirement, and those who have been unable to work due to illness, disability, unemployment, or being a carer, can apply for National Insurance credits. Usually a six-year time limit is imposed for top-ups to any tax year. For example, the deadline for top-ups for the tax year 2015–2016 is 2022.

The 2016 changes to the state pension also affect the age of retirement, and the options for accessing pension pots once retirees are eligible. Women reach retirement age later than previously. In 2018, the pension age for women will be 65, in line with the retirement age for men. By 2020, the retirement age for both sexes will rise to 66, and then to 67 by 2028.

When it comes to private pensions, including employer schemes, retirees will have more flexibility as to what money can be spent on. Until April 2015, retirees could take their pension pot as a lump sum and use it to buy an annuity – a life insurance company is given the pension and pays out a regular monthly income. Under new rules, that pension pot can be used for a lump sum withdrawal instead of spent on an annuity. The downside of an annuity is that when a retiree dies, the annuity dies with them; the upside is guaranteed income for life. On the other hand, a lump sum drawdown allows retirees to leave some money behind for loved ones after their deaths, and the rest of the money can be used for investment or pleasure.

Private pensions

The government encourages workers to pay into a private pension fund by offering tax incentives. Contributions to private pension schemes are usually tax-free up to a certain limit (*see box*) and this applies to most schemes. In the UK there are two main private pension categories: workplace pensions, where employers pay in as part of the employee's salary package, and private pensions that employees pay into, which may be offered via the workplace.

In private pension schemes, a contract is made directly with the insurance provider, whereas with a workplace pension the employer sets up the insurance